NOMURA

Global Memory

Global Markets Research
30 October 2026

EQUITY: MEMORY

Big tech tells: “Where is the shelter? Memory.”

Very profitable, but multi-year negative FCF for big techs; memory is the shelter

3Q26 results from five big techs (Meta [META US, Not rated], Alphabet [GOOGL US, Not rated], Microsoft [MSFT US, Not rated], Amazon [AMZN US, Not rated], and SpaceX [SPCX US, Not rated]) are now in. They reaffirmed or view that AI investment cannot stop. Cash stamina has started to diverge across companies, but given improving project IRRs and the risk of cannibalisation of existing businesses, we expect big techs to continue the capex race (refer to our view in *The unstoppable race* published on 23 October) for the next several years, drawing on operating cash flow, debt and equity alike. On the other side of this trade, cash is piling up at the memory makers. Yet, memory valuations already assume peak earnings, on which we disagree, leaving the sector at an excessively low valuation of 2-3x P/E. So, where is the portfolio shelter? We think it’s memory.

The will to invest is confirmed; financial stamina is diverging

Enterprise-wide AI investment is a matter of survival, and the companies have shown that they will mobilise operating cash, debt and equity to fund it. In 3Q26, however, quarterly FCF turned negative at Meta (−USD2.1bn, the first time since its IPO), Alphabet (−USD9.1bn, a second straight quarter) and Amazon (TTM: −USD42.4bn); only Microsoft stayed positive at +USD18.6bn. Meta, Alphabet and Amazon have halted buybacks and are widening their funding base through equity and debt. The market rewarded only positive FCF (MSFT) and investment backed by revenue visibility (SpaceX).

Fig. 1: Big tech’s 3Q26 FCF, funding, and share price reaction

Company	FCF (USDbn)		Funding method	Share price on results
	Quarterly	YTD / TTM		
Microsoft	+18.6	-	Operating cash; expects positive FCF through FY27E	-0.2%
Alphabet	-9.1	TTM +19.7	USD80bn equity raise announced in June; zero buyback	-10-13%
Meta	-2.1	9M +11.0	New non-voting class C shares; zero buyback	-7%
Amazon	c. -33.5	TTM -42.4	Long-term debt up to c.USD107.5bn YTD; zero buyback	-5-7% (after hours)
SpaceX	c. -10.0	-	IPO proceeds (net cash c.USD51bn); debt financing in talks	c. +10%

Source: Company data, Nomura research

In 2027E, funding capacity will set the pace of investment

None of the five companies mentioned above provided a 2027E capex figure; and all of them only signalled an increase. Applying the +60% growth in 2027E global CSP capex as cited by SK Hynix (000660 KS, Buy) to the four hyperscalers implies ~USD1.2tn, versus market expectations of +30-35%. More than 60% capex growth by big tech customers has been well known to Asian supply chain companies, which is different from the current Bloomberg consensus estimate. On our operating cash flow estimates (based on company guidance and consensus estimates), the four companies' combined FCF falls from about +USD289bn in 2025 to +USD135 in 2026F; in 2027E, their combined capex will fall again to USD67bn even based on consensus capex estimates, and turn negative at -USD144bn under “+60% capex” scenario. Because the gap must be filled with debt and equity, we believe resources will flow to the winners with the capacity to raise funds.

(Continued on the next page)

Research Analysts

Asia Pacific Technology

CW Chung - NIHK
cwchung@nomura.com
+852 2252 6075

Korea Technology

Eon Hwang - NFIK
eon.hwang@nomura.com
+822 3783 2318

YJ Kim, CFA - NFIK
yj.kim1@nomura.com
+82237832332

Production Complete: 2026-10-30 12:57 UTC

See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Fig. 2: Four hyperscalers' capex, operating cashflow, and FCF

(USDbn)	2025	2026E	2027E (+30-35% scenario)	2027E (+60% scenario)
Combined capex	**413**	**766**	**1,015**	**1,226**
y-y (%)	*65%*	*85%*	*+30-35%*	*+60%*
MSFT (incl. financial lease)	118	127	-	-
GOOGL (cash)	91	202	-	-
AMZN (cash)	132	222	-	-
META (incl. financial lease principal)	72	215	-	-
*** Capex including SpaceX:**	**-**	**c.850**	**-**	**1,724-1,795**
Operating cashflow	**702**	**902**	**1,082**	**1,082**
y-y (%)	*53%*	*28%*	*+20% (assumed)*	*+20% (assumed)*
MSFT	161	205	-	-
GOOGL	205	279	-	-
AMZN	202	247	-	-
META	135	171	-	-
FCF (OCF - capex)	**289**	**135**	**67**	**(144)**
MSFT	43	77	-	-
GOOGL	114	76	-	-
AMZN	70	25	-	-
META	63	(44)	-	-
Sensitivity: OCF +10%	-	-	(23)	(234)
Sensitivity: OCF +30%	-	-	157	(54)

Note: Forward-looking figures are based on company guidance and consensus estimates.
Source: Company data, Bloomberg Finance L.P., Nomura research

Cloud is a high-growth business; profitability is improving due to strong computing power demand

3Q revenue at the three cloud providers [Azure (owned by Microsoft), Google Cloud, AWS (owned by Amazon)] rose 56% to USD109.9bn, with a backlog of USD1.82tn. Operating margins at AWS and Google Cloud are high at 38.7% and 36.2%, respectively. Assuming capex of USD50bn per GW and annual revenue of USD19bn per GW, the IRR is about 6-15% depending on the margin of the AI business, rising to 13-31% if today's spot rental rate (USD40bn per GW per year) holds. Using the highest margin among cloud providers (MSFT Agents & Infra, 52.8%), the IRR comes to 21-41%. Hence, we believe profitability is ultimately determined by rental pricing.

Fig. 3: Cloud IRR/EBITDA margins by revenue per GW (our estimates)

Annual revenue (USDbn per GW)	IRR / EBITDA margin assuming OPM of: 52.8% (MSFT A&I)	38%	25%	15%
19 (2026 assumption)	20.8% / 85%	15.3% / 70%	10.3% / 57%	6.3% / 47%
34 (2030 assumption)	35.6% / 71%	26.3% / 56%	17.9% / 43%	11.0% / 33%
40 (current spot rate)	41.2% / 68%	30.6% / 53%	20.8% / 40%	12.9% / 30%

* 3Q actual OPM by player:	MSFT A&I	AWS	Google Cloud	SpaceX SI
	52.8%	38.7%	36.2%	5.7%

Note: MSFT A&I's margin includes server software licensing, and AWS' margin is from pure-cloud business. We assumed 65% margin for server/networking (6-year depreciation), 35% margin for data centers (25-year depreciation), 21% tax rate, and 6-year operation. USD40bn/GW per year scenario is a bull case where current annual spot price is maintained for next 6 years.
Source: Company data, Nomura estimates

AI cannibalization shows that AI investment is not an option, but a must

Google Search revenue growth slowed to 12% in 3Q from 17% in 2Q. Query growth was the fastest in five years, but Google's own AI Mode is lowering monetisation per query. Even Google — the heaviest investor — could not avoid the slowdown shows that investment is becoming a defensive tool to protect existing businesses before it is a tool to grow profits.

Fig. 4: Big tech's AI gains and losses

Company	Gained from AI	Lost/pressured by AI	Net effect
Google	Cloud USD30.7bn (+103%); backlog USD561bn	Search +12% (2Q +17%); AI Mode diluting pricing	Gain > Loss
Microsoft	Azure USD33.2bn (+48%); uage-pased pricing monetizes agents	M365 seat growth 7% → 5% (ceiling on seat-based revenue)	Gain >> Loss
Meta	Ads USD63.1bn (+26%); ad price +14%	Expenses +68%; quarterly FCF -USD2.1bn	Revenue gain / Cash loss
Amazon	AWS USD46.0bn (+39%); backlog USD578bn	Agentic shopping may potentially reduce ad impression	Gain >> Loss
SpaceX	SI (ex-xAI) USD7.56bn (+830%)	-	Gain

Source: Company data, Nomura research

Capex shortfalls reflect supply, not intent

3Q capex came in below market expectations at MSFT, GOOGL and META. MSFT cited delays in third-party data center capacity deliveries, and its change in building useful lives has moved new leases into operating-lease classification, reducing reported capex (spending plans unchanged). In 2027F, when shortages are more severe, the lag between intention and execution could widen and would be a new normal, in our view.

Fig. 5: 3Q big tech capex: actuals vs consensus

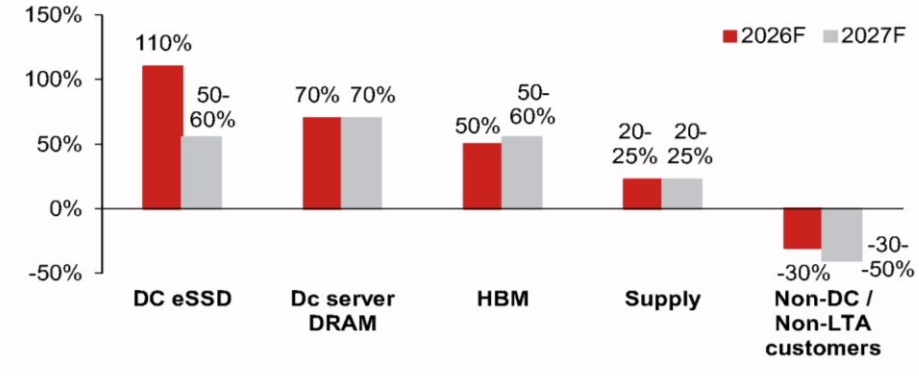
Company	3Q actual (USDbn)	Expectation (USDbn)	Reason for gap	Leases not yet commenced (USDbn)
Microsoft	45.2	Guidance: 50+	Third party capacity delays → deferred to 1H27	365
Google	51.4	Consensus: c.55.8	No explanation; implies 4Q of USD63-73bn	152
Meta	34.9	Consensus: c.41-42	No explanation; implies 4Q of USD49-59bn	356
Amazon	75.9	-	Cited that chip (foundry) supply as the bottleneck	137

Source: Company data, Bloomberg Finance L.P. consensus, Nomura research

Intel: PC weakness is not new, but well expected due to component shortage and higher prices, in addition to Intel-specific issues

Intel's (INTC US, Not rated) 4Q revenue guidance (USD15-16bn) fell short of market expectations (c.USD17bn), and the shares dropped 21% during after-hours trading upon earnings release on 29 October (vs NASDAQ 100 Futures' -2%). The PC slowdown is a market-wide problem: higher memory prices and supply shortages cut global PC shipments by about 20% in 3Q. We expected this, but market expectations (4Q revenue consensus of USD17bn) did not fully reflect the scale of the PC downturn. Intel's company-specific problem is that it could not keep up with server demand (Intel 3 and substrate shortages, the Israel fab accident), and differing process technologies make it hard to shift PC capacity to servers quickly despite demand change. PC and server use same DRAM, which make it easy to convert application, but they use different CPUs. AMD (AMD US, Not rated) is also taking share in both servers and PCs, and the Arm (ARM US, Not rated) camp (NVIDIA [Nvidia US, Not rated] Grace/Vera, AWS Graviton, Google Axion and others) is eroding part of the Intel's server CPU market although agentic AI induces strong CPU demand.

Fig. 6: Memory supply outlook



Source: Nomura estimates

Fig. 7: Intel's 3Q26 results breakdown

Item	(USDbn)	Nature
Data center / AI revenue	7.3 (+78% y-y)	Strong demand
Client (PC) revenue	8.1 (-5% y-y)	Market factor
3Q global PC shipments (IDC / Counterpoint)	-20.1% / -21%	Market factor
Server CPU shipments (industry, Intel outlook)	> +30% in each of 2026E/2027E	Strong demand
Israel fab accident	Server shipments c.-0.3 in each of 4Q/1Q	Company factor
AMD server CPU share (2Q26)	34.5% (+7.3pp y-y)	Company factor
Arm server CPU share (1Q26 → 2027E)	13.2% (Mercury) → c.30% (TrendForce forecast)	Structural erosion

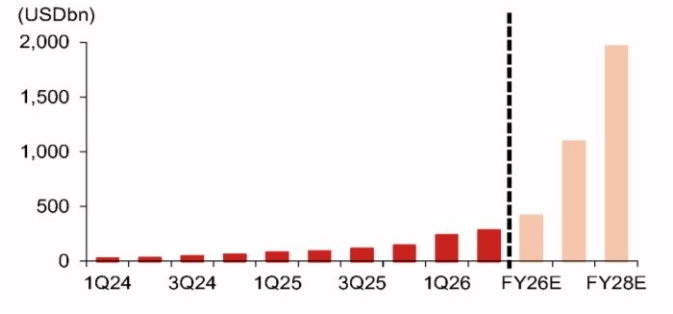
Source: Company data, IDC, Counterpoint, TrendForce, Nomura research

FCF polarization and the memory irony; we believe memory is the shelter

Big tech's free cash flow should, of course, follow a J-curve: once the heavy upfront investment turns into revenue, large operating cash flows will follow. But big tech's negative FCF is only beginning, and the deficit is likely to widen over the next one to two years as investment rises.

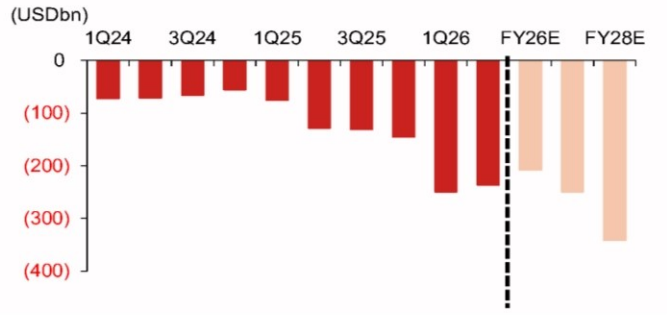
By contrast, large-scale shareholder returns by the memory makers are also only beginning: over the next several years, we expect shareholder returns to multiply and cash holdings to grow several-fold even after meaningful shareholder return. Ironically, memory makers trade at 2-3x 2027E P/E, an 85-90% discount to big techs, which faces borrowing and dilution risk. Current valuations treat today's memory earnings as the peak, but with shortages lasting through 2028F and long-term supply agreements increasing, we believe the market's assumption about how long these earnings will last is too weak.

Fig. 8: Nine semiconductor companies' combined net cash trend



Note: Combined net cash of Samsung Electronics, SK Hynix, Micron, Sandisk, Kioxia, TSMC, Nvidia, AMD, and Broadcom; figures for Samsung Electronics, Hynix, Kioxia, and TSMC are based on our estimates; figures for other companies are based on Bloomberg consensus estimates.
Source: Bloomberg Finance L.P., Nomura estimates

Fig. 9: Seven data center companies' combined net cash trend



Note: Combined net cash of Microsoft, Google, Amazon, Oracle, Meta, Coreweave, and Nebius. Based on Bloomberg consensus estimates.
Source: Bloomberg Finance L.P., Nomura research

Fig. 10: Big tech vs Korea memory – 2027E P/E comparison

Company	2027E P/E	Basis
4 big techs	**c.20.9x (average)**	MSFT 24.3x / AMZN 21.7-23.3x / GOOGL 18.5x / META 18.1x
Korean memory "big 2"	**c.2-3x**	Samsung Electronics c.3.2x / SK Hynix c.2.8x
Memory discount	**c.85-90%**	

Note: Applied FnGuide consensus for Samsung Electronics and SK Hynix to compare based on Street estimates.
Source: Bloomberg Finance L.P. consensus, FnGuide consensus, Nomura research

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See Disclaimers for Nomura Group entity details.

Analyst Certification

We, CW Chung, Eon Hwang and YJ Kim, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.
Important disclosures may be read at http://go.nomuranow.com/research/m/Disclosures or requested from Nomura Securities International, Inc.
If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:
60% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 34% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.
38% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group
2% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 17% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.
As at 30 September 2026.
**The Nomura Group as defined in the Disclaimer section at the end of this report.*
*** As defined by the EU Market Abuse Regulation*

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise

stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States:** S&P 500; **Europe:** Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan:** Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at http://dis.kofia.or.kr, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: LINK

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any

obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.

Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFRC") and FTSE Russell ("Russell"). NFRC and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation.

Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

Nomura's research services may utilize artificial intelligence tools, including third-party platforms, to assist with data analysis and other research-related activities. Any AI-generated output is subject to review and oversight by the research analyst(s) primarily responsible for the substance of this report and a qualified supervisor For the avoidance of doubt, the use of AI tools does not constitute investment advice and does not alter the execution-only basis upon which Research Services are provided.

The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption

from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by NIplc. NIplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. NIplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH (“NFPE”). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NIHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NIHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT.

Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia (‘Saudi Arabia’) or a ’Market Counterparty’ or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates (‘UAE’) or a ‘Market Counterparty’ or a ‘Business Customer’ (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar (‘Qatar’) by Nomura Saudi Arabia, NIplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ located in Saudi Arabia or a ’Market Counterparty’ or a 'Professional Client' in the UAE or a ‘Market Counterparty’ or a ‘Business Customer’ in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, “Offshore Issuers”) that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.

NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain

viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.

Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:

http://go.nomuranow.com/research/m/Disclosures

Copyright © 2026 Nomura International (Hong Kong) Ltd., Hong Kong. All rights reserved.